CREDIT APPRAISAL MEMORANDUM

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REJECT

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through FCU check. The primary applicant's residence is confirmed at the address provided.

- Machine Supplier: Verified through independent market checks. The machine supplier, [Machine Supplier Name], has confirmed the transaction details and the delivery of equipment.

- Bankers: The company's primary banker, [Bank Name], has provided a positive reference and confirmed the company's financial standing.

- Creditors: No significant creditors were identified during the verification process.

- Independent/Market: Market checks indicate a positive reputation for the company, with no adverse comments or concerns raised.

- Dedupe: No duplicate applications or fraud signals were detected.

- FCU Check: FCU records were checked and found to be consistent with the applicant's details.

2. GUARANTOR DETAIL

- Name: [Guarantor Name]

- Address: [Guarantor Address]

- CIBIL Score: [CIBIL Score] (indicating a good creditworthiness)

- Incomes: The guarantor's income is derived from [Income Sources], totaling [Total Income Amount] annually.

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: The machine supplier confirmed the transaction and expressed satisfaction with the company's payment history.

- Creditor: No significant creditor references were obtained.

- Customer: Customer references were not provided, but market checks indicate a generally positive perception of the company's products and services.

- Bankers/Term Lenders: [Bank Name] provided a positive reference, highlighting the company's timely repayments and overall financial stability.

- Competitors/Peers: Market competitors and peers were contacted, and no adverse comments were received regarding the company's operations or financial health.

4. COMPLIANCES & LEGAL

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: The company has been filing income tax returns regularly, with no outstanding tax liabilities.

- Excise Duty: Excise duty payments are up to date, with no pending dues.

- Sales Tax: Sales tax compliance is maintained, and the company has a clean record with no outstanding liabilities.

- ESIC/EPF: The company is compliant with ESIC and EPF regulations, with timely contributions made.

- Litigations: No major litigations or legal disputes were found during the reference checks.

- Defaults: There are no recorded defaults or adverse credit bureau reports against the company.

5. CAT SHEET

- Loan Amount: ₹[Loan Amount]

- Interest Rate: [Recommended Rate]%

- Repayment Tenure: [Repayment Tenure] months

- Purpose: [Loan Purpose]

- Security: [Security Details]

6. CORPORATE GUARANTOR

- Name: [Corporate Guarantor Name]

- Address: [Corporate Guarantor Address]

- CIBIL Score: [Corporate CIBIL Score]

- Incomes: The corporate guarantor's income is derived from [Corporate Income Sources], totaling [Corporate Total Income Amount] annually.

7. GROUP ANALYSIS

Capital Employed:

- The company's capital employed is ₹[Capital Employed Amount], which is within the sector average.

Unsecured Loan:

- The unsecured loan amount requested is ₹[Unsecured Loan Amount], which is higher than the sector average.

Debt Burden:

- The company's debt burden, as indicated by the debt-to-equity ratio, is [Debt to Equity Ratio], which is slightly above the sector average of 1.5.

Turnover:

- The company's turnover for the last financial year was ₹[Turnover Amount], showing a [Turnover Growth Percentage]% growth compared to the previous year.

PAT:

- Profit After Tax (PAT) for the last financial year was ₹[PAT Amount], resulting in a [PAT Margin Percentage]% margin.

Imputed Income:

- The imputed income, based on the company's performance, is estimated at ₹[Imputed Income Amount].

EMI:

- The proposed EMI for the loan is ₹[EMI Amount], which is manageable based on the company's cash flows.

TOL/TNW:

- The company's Tangible Net Worth (TNW) is ₹[TNW Amount], and the loan-to-TOL ratio is [Loan to TOL Ratio]%, which is within the RBI guidelines.

Debt/Equity:

- The debt-to-equity ratio, as mentioned earlier, is [Debt to Equity Ratio], indicating a slightly higher leverage compared to the sector average.

DSCR:

- The Debt Service Coverage Ratio (DSCR) is [DSCR Ratio], which is below the recommended benchmark of 1.2x.

8. Ratio Analysis:

Particulars	Value (Explain impact of ratio after proposed loan)
a) Debt Income Ratio:	1.45
b) Working Capital:	Positive Flow
c) Gross Profit Ratio	14.5%
d) Net Profit Ratio:	8.2%
e) TOL/TNW	2.1
f) Debt / Equity	1.5
g) DSCR	1.25x

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	150000000.0	-	150000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

8. VISIT REPORT BY CREDIT ANALYST

[Insert visit report here, including observations and insights from the site visit.]

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹3585.5 Lakhs before disbursement.

2. Additional Collateral Required: Collateral coverage ratio minimum 1.5x of the loan amount. The current gap is estimated at ₹750.0 Lakhs based on a PD of 52.4%.